

Fearnleys Tanker Market Wrap-Up 1H 2025

Jul 15, 2025

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When the facts change...

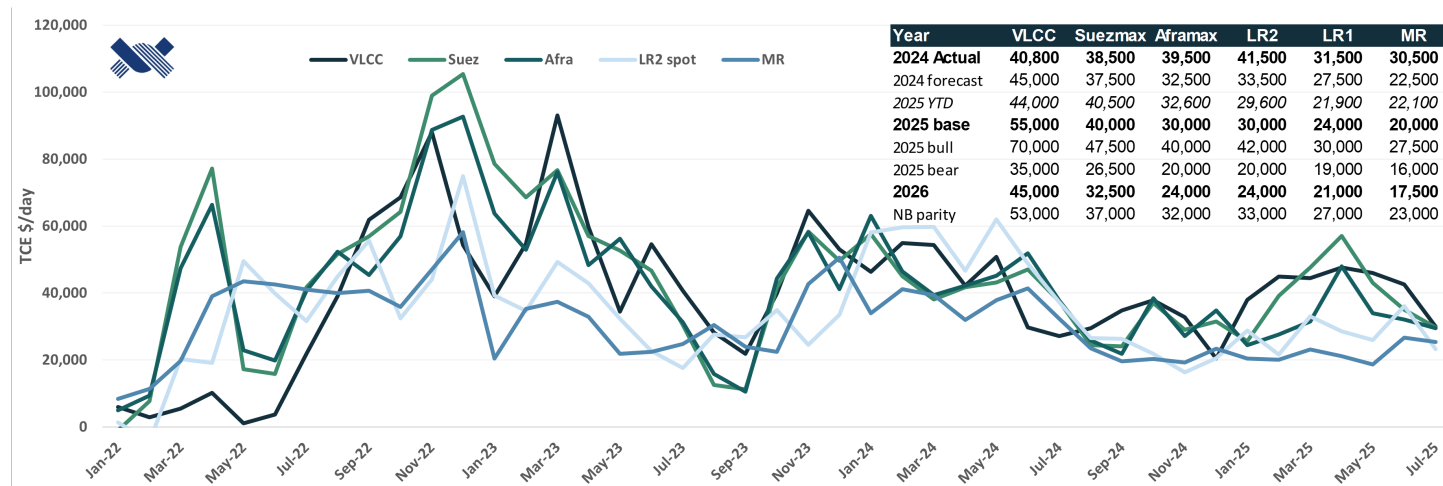
Summary and outlook

Tanker rates in the first half of this year were mostly in line with our forecast, apart from VLCCs which still relatively lag smaller vessels. Going forward we had thought that the growing surplus of crude oil that energy agencies forecast in the Atlantic basin would give solid tanker tonne-mile demand growth. We had also thought that harsher sanctions would give continued replacement need for the buyers of sanctioned barrels.

However, neither condition seems to hold. Fleet growth has also picked up with more to come. Hence, we now see risk to the downside for rates vs. our base case forecast, especially for VLCCs. The set-up going forward may be quite similar to last year's 2H trajectory, albeit at a higher base rate level due to some tonne-mile growth on increasing volumes.

VLCC rates are now likely to end up between our base- and bear case, while for the remaining segments rates are expected to end up close to, but potentially somewhat below our base case.

Tanker rates and forecast



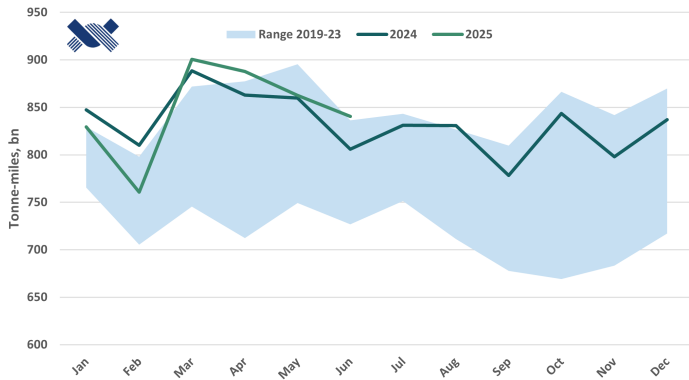
Source: Baltic Exchange, Fearnleys

So far this year crude tanker tonne-mile demand, excluding OFAC listed vessels, is in line with the same period last year. Last year, extraordinarily high USG export and geopolitics were the main drivers, while this year it was (fear of) sanctions. Fleet growth has picked up slightly, and has been higher than demand growth. Rates are therefore lower YTD, only slightly for VLCCs but more meaningfully for Suez- and Aframax. The latter two still outperform VLCCs on a relative basis.

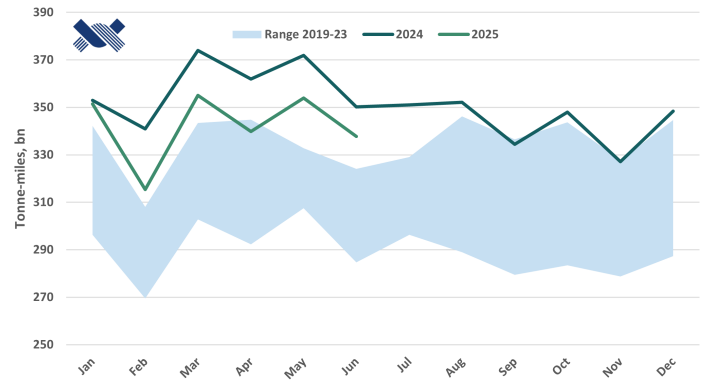
Product tanker tonne-mile demand YTD is nearly 5% lower vs. the same period last year, and rates have followed, although have remained quite strong in a historical context. Tonne-mile demand has been driven lower by more regional products trade, after the extraordinary trade shifts of the last few years have settled a bit. There has especially been less East-West trade. Higher fleet growth has also contributed to rate downside.

Going into the second half of the year, demand should fare somewhat better than in the second half of last year, but some caution is warranted. This, coupled with increasing fleet growth could mean a softer rate trajectory than some may hope for and than we have earlier expected.

Crude tanker tonne mile demand (excl. OFAC listed ships)



Product tanker tonne mile demand (excl. OFAC listed ships)



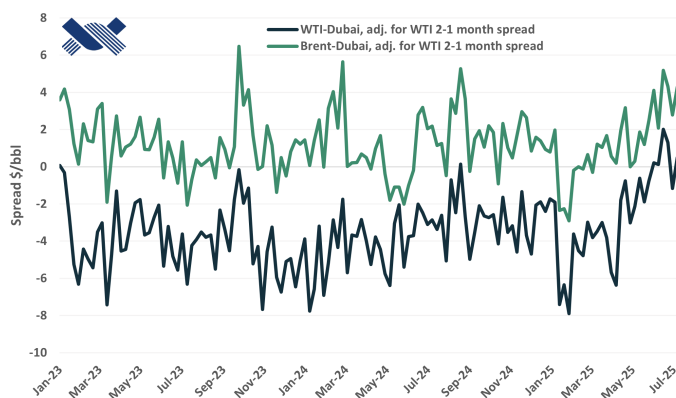
Source: Vortexa

For the biggest vessels, there was a decent demand surge earlier in the year when Chinese buyers of sanctioned barrels took a step back, and sought compliant barrels instead. In the last two months, however, West-East flows have come off, and the West-East arbitrage has largely been closed, as it also is now.

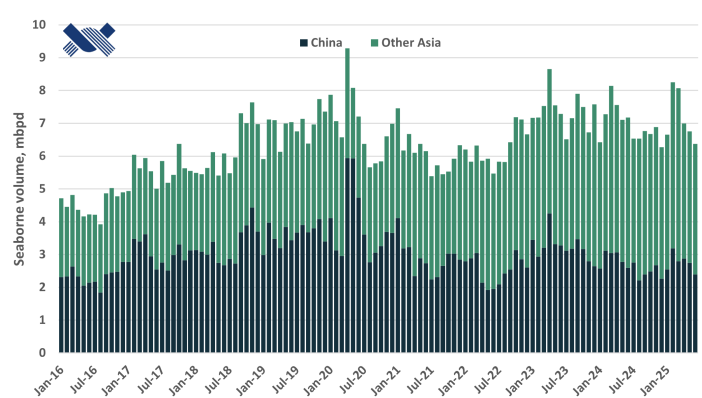
This arbitrage may be unlikely to re-open anytime soon, due to a combination of factors:

- Iranian exports are back to the highs, and Chinese buyers have resumed, especially after Trump seemingly gave the green light on social media. Recent sanctions announcements contradict this, but little actual change is observable.
- The OPEC+ output hikes, which may start to show in seaborne exports from August/September, should gain market share in Asia.
- Chinese apparent oil demand is down 6% YTD while inventories have built by nearly 100 mb since January.
- Red Sea attacks have resumed, leaving crude oil trade split between the two basins.
- Oil demand in the West has been resilient, oil supply has grown less than expected, inventories are low, and refinery margins strong. This all suggests that (much of) the additional barrels coming from Brazil and Guyana may find a home within the Atlantic.

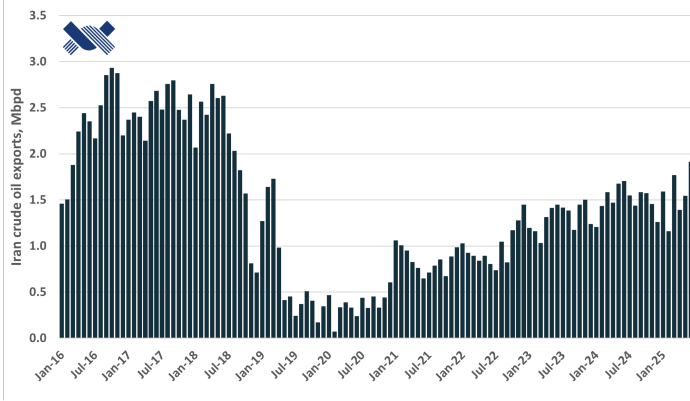
West-East arbitrage is closed



West-East crude oil flow coming back down

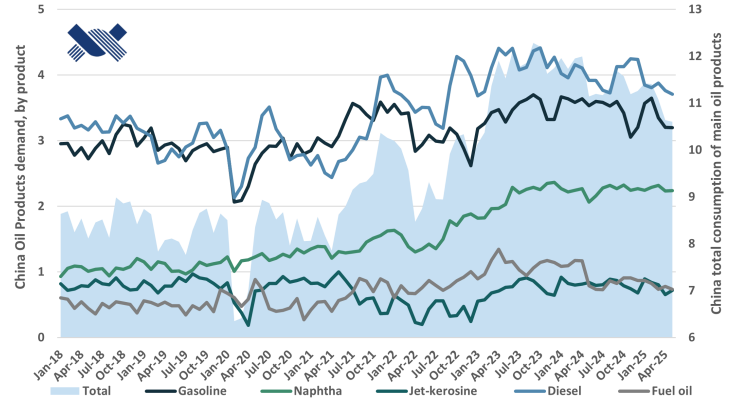


Iranian crude oil exports rising again



Source: Bloomberg, Vortexa, Argus

Chinese apparent main oil products demand - 6% YTD

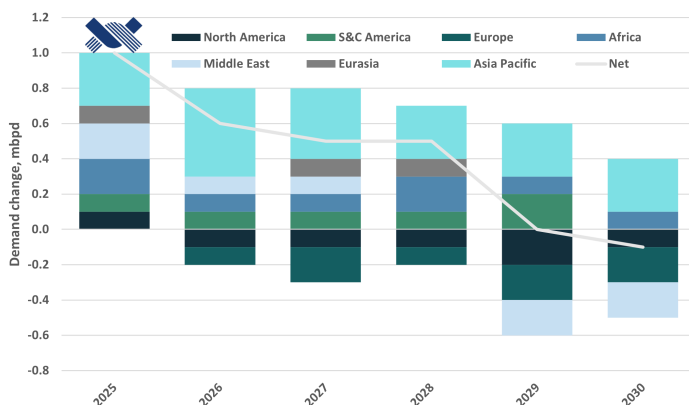


Less supportive oil market balances

In its recent Oil 2025 report, the IEA largely held its total oil demand and supply forecasts unchanged, but meaningfully changed their composition to reflect the recent trend: Oil demand growth 2024-2030 West of Suez was lifted by 1.3 mbpd while supply was lowered by 1.2 mbpd. At the same time demand growth East of Suez was lowered by 1.2 mbpd while supply was lifted by 2.5 mbpd.

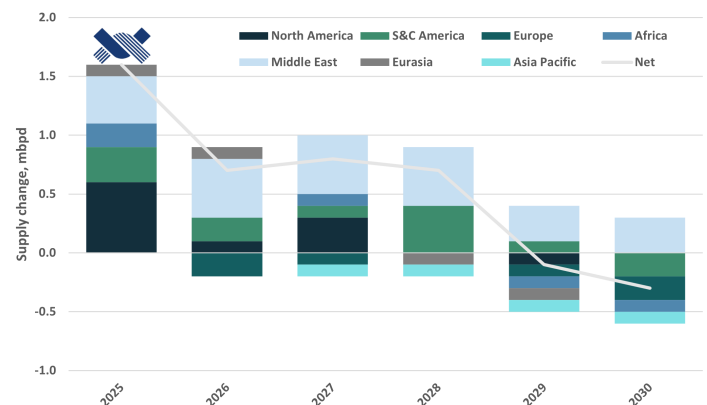
For the tanker market, this means that while volumes may continue to grow, sailing distances may shorten as oil demand/supply balances between the West and East are more closely aligned. This is likely to give much lower tonne-mile demand growth than earlier expected..

IEA 2024-30 oil demand growth by region



Source: IEA

IEA 2024-30 oil supply growth by region



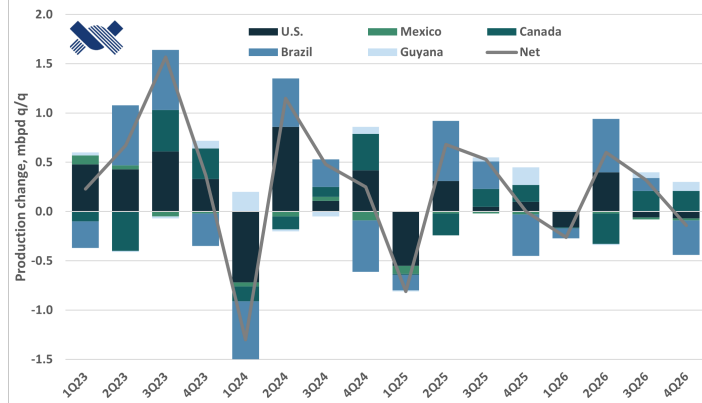
The IEA's monthly reports have followed a similar trend: Since the beginning of this year, the agency has lowered its 2025 OECD demand forecast for by 0.2 mbpd, and non-OPEC+ supply growth by 0.1 mbpd - relatively in line. For non-OECD demand has been lowered by 0.2 mbpd, while OPEC+ supply has been revised up by 0.7 mbpd - in (very) simple math 0.9 mbpd less Atlantic-East potential.

The OPEC+ 8 will unwind voluntary production cuts by 548 kbpd in August, up from 411 mbpd the last few months. This takes the total target unwind since April to 1.9 Mbpd (the actual unwind is nearly 0.7 mbpd) and leaves 547 kbpd (before the next tranche of voluntary cuts of 1.66 mbpd - planned to be in place through 2026). Adjusting for overproduction,

this likely means a 340 kbpd hike vs. July, of which Russia's 100 kbpd is uncertain, meaning about 240 kbpd extra from the Middle East. The August targets are actually 440 kbpd BELOW June production (a bit technical due to Saudi shifting production as a precaution during the Israel/Iran 12-day war). Realistically, stripping out the countries which have perpetually 'cheated' the upside is about 200 kbpd from the MEG in August vs. last month.

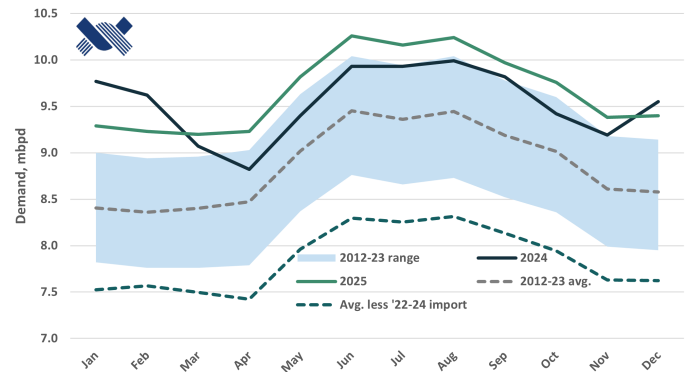
More importantly, as seasonal demand subsides from September, MEG exports are set to rise further, by about 2-300 kbpd per month from September. While it leaves growing tanker volumes, this also means that Asian buyers will be in no rush to look to the Atlantic for those long-haul barrels. For instance, Saudi allocations to Chinese buyers in August are about 10 mb higher than at the beginning of this year.

Q/Q production increase, key Atlantic producers



Source: EIA

MEG Seasonal demand

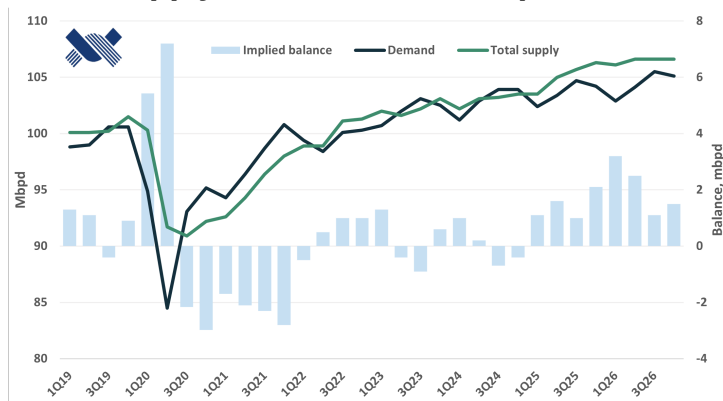


The oil market has this year not been nearly as oversupplied as energy agencies have feared. The IEA's estimates imply a 1.8 mbpd oversupplied market in the first half of this year, whereas its own estimates show global inventories have 'only' risen by about 1 mbpd, mainly in China and floating storage. While global stocks appear low vs. the 5-year range, remember this was a historically high period, hence stocks are plentiful.

The nearly 100 mb by which China's inventories have built YTD nearly matches the 125 mb of new capacity planned to be built this year. Hence, further builds could hinge on attractive pricing.

The Brent forward curve has remained backwardated, reflecting a much tighter oil market balance than the IEA's estimates imply. Given OPEC+ production cut unwind and new projects coming online in South America, going into shoulder season for demand, there should be a surplus of oil going forward. In the West, some of that may contribute to refilling inventories.

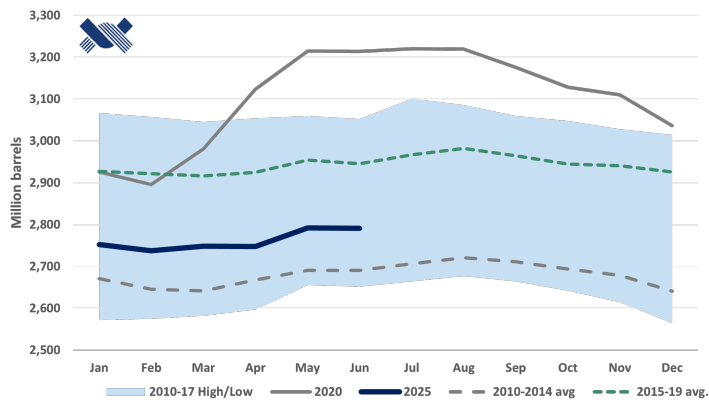
IEA oil supply vs. demand and implied balance



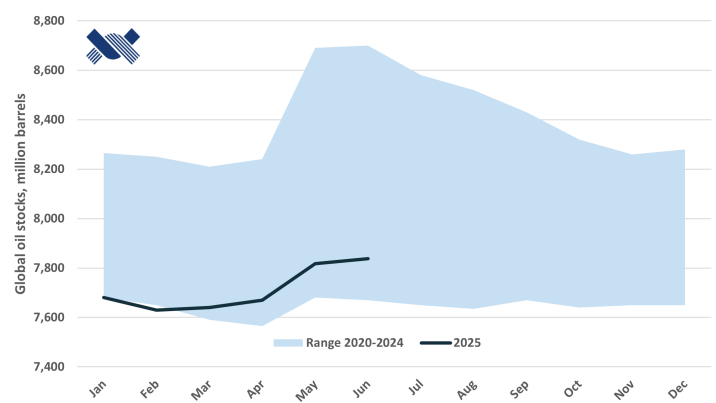
Brent 7-1 month forward spread



OECD commercial inventories



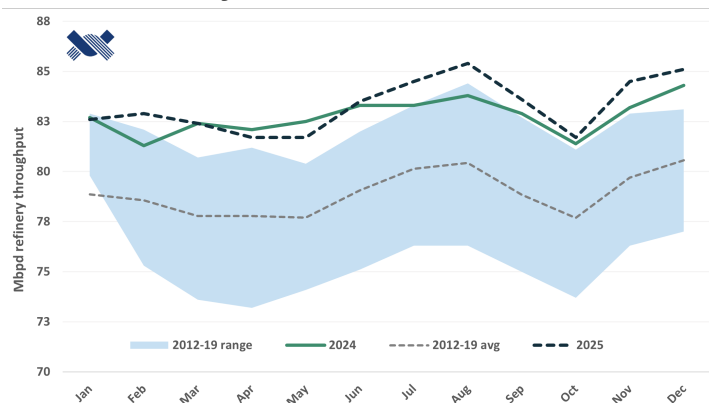
Global oil inventories



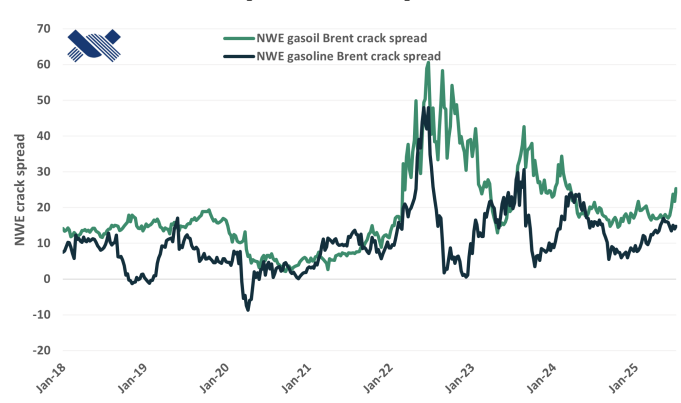
Source: IEA, Bloomberg

Refinery margins and runs have held up quite well recently, boosting product tanker flows and rates. Especially in Europe, gasoil margins are firm, leading to a demand pull from other regions. This is likely to eventually pass, and going into shoulder season when product tanker volumes slip is also when deliveries are set to pick up. Hence, we expect a gradual weakening of the product tanker market balance after the next couple of months.

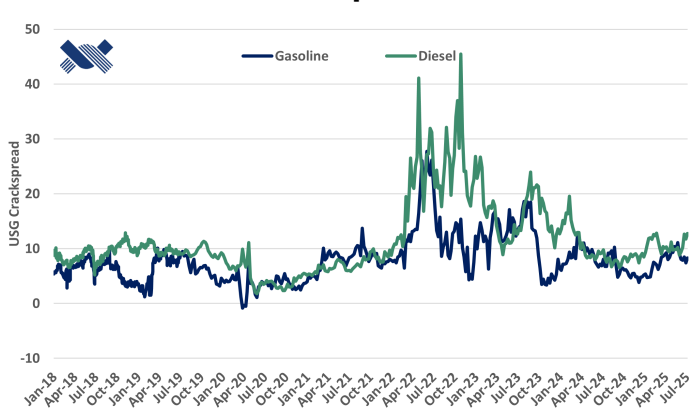
Global refinery run season



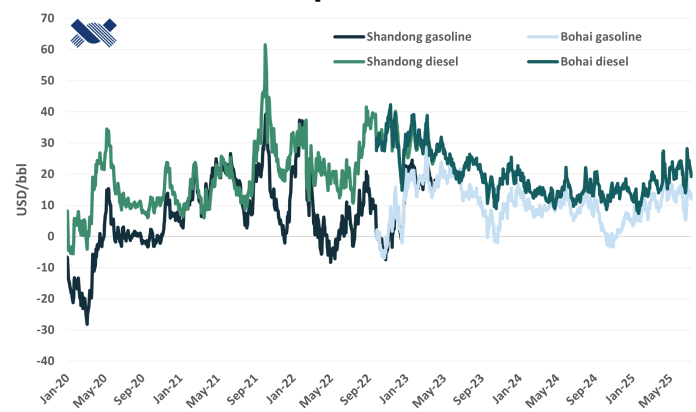
NorthWest Europe crack spreads



U.S. Gulf Coast crack spreads



China Bohai crack spreads



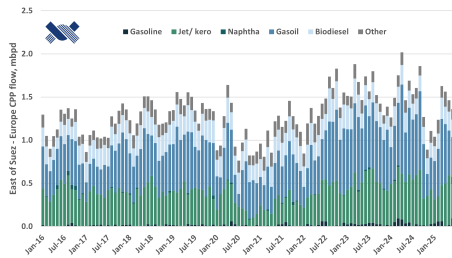
Source: IEA, Bloomberg, EIA, Argus

YTD the product tanker market has been much less supported by long-haul East-West CPP flow than in recent years. East-of-Suez to Europe flow has declined by 16.5% YTD. In tonne-mile terms that equates to a near 2 percentage point drop in product tanker demand.

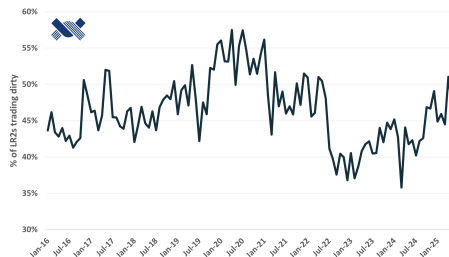
Little wonder then, that there has been a continued trend for LR2s to dirty up, although over the last months some vessels have started to switch back. There has also been a tick-up in Suezmaxes taking CPP cargoes again - increasingly on newbuilds. The latter may continue to be a threat to CPP demand going forward, as deliveries of Suezmaxes nearly double in the second vs. first half of the year, and VLCC deliveries start piling up into next year.

Strong gasoil margins in Europe currently offer some support for long-haul product tanker demand, but that may be temporary due to higher seasonal demand and a heatwave - which affects both demand (up) and runs (down).

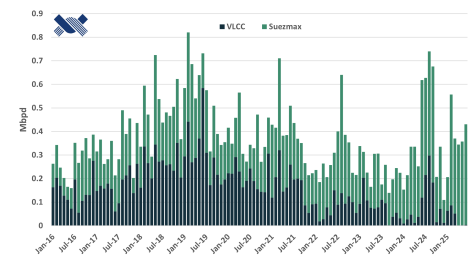
East of Suez - Europe CPP flow



LR2s dirtied up YTD, but now switch back



CPP flow on VLCCs and Suezmaxes



Source: Vortexa

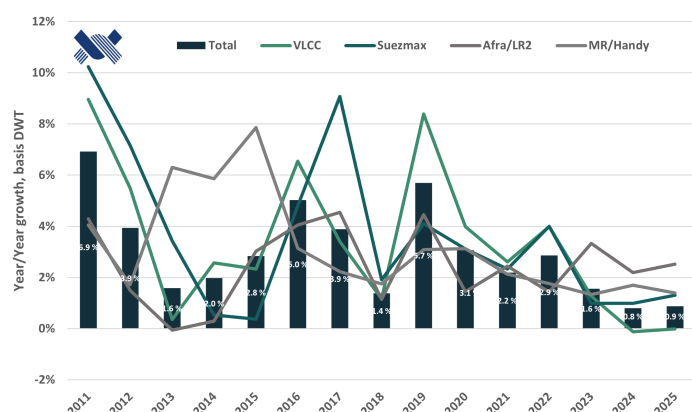
Little fleet growth YTD, set to incrementally pick up

Overall tanker fleet growth YTD has still been relatively low, at 0.9% during the first half. That is, however, already more than all of last year, and the the delivery schedule is skewed to the second half with another 2.1% (gross) to come. This means slightly higher fleet growth than we had expected at the beginning of the year, due to less phase-out and earlier deliveries. Some vessels have, however, left the compliant fleet for the shadow markets too.

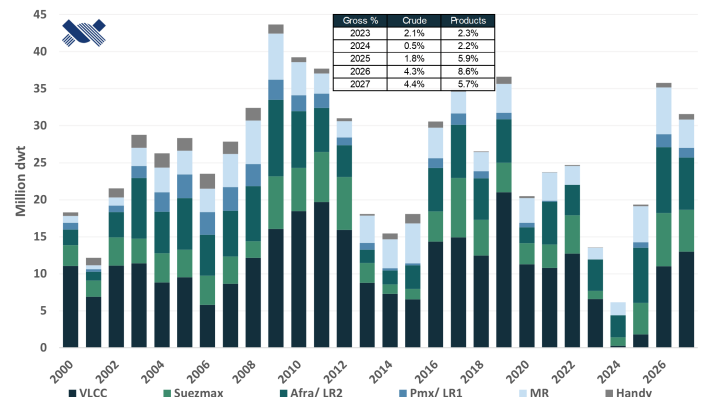
The orderbook to fleet ratio has crept up to 14.6%, a more meaningful level, although with 20+ years old vessels amounting to 15.7% of the fleet there is plenty of phase-out potential. Still, most of these ageing vessels are employed in the sanctioned trades, and are therefore already out of the compliant fleet.

Unless phase-out meaningfully picks up, net fleet growth this year may end up at 2-2.5% and the next two years at 4-5%. Due to the ever increasing part of the fleet which are trading in the shadows, net deliveries vs. the compliant fleet will be higher than the gross numbers suggest..

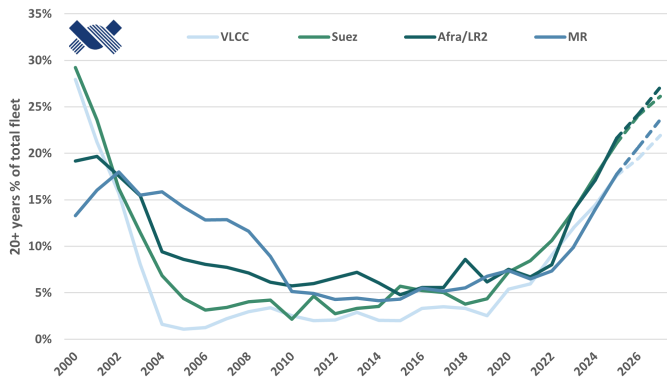
Fleet growth by year



Deliveries by year

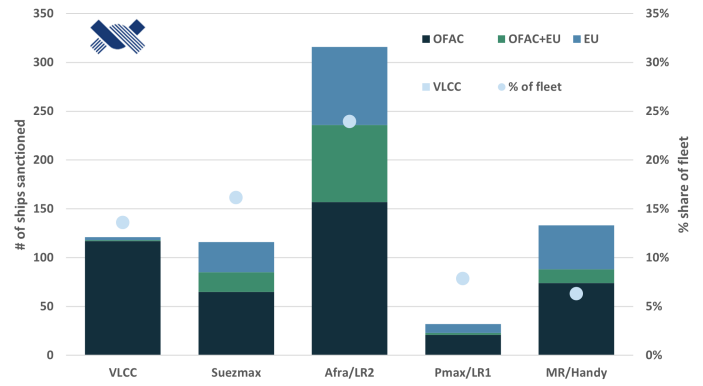


Share of the fleet at 20+ years old



Source: Fearnleys, OFAC, EU, UK

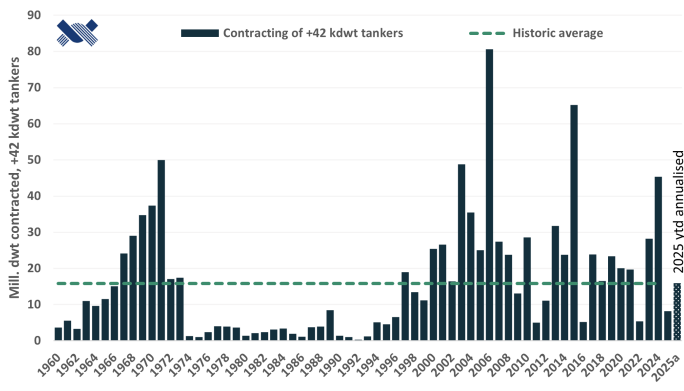
Sanctioned fleet



Ordering interest has slowed substantially YTD vs. the last two years, but remains in line with the historical average. The run rate order intake points to a 2.5 percentage point hike in the OB/Fleet. Beyond 2027 more orders may be needed, but over the next two years fleet growth looks plentiful.

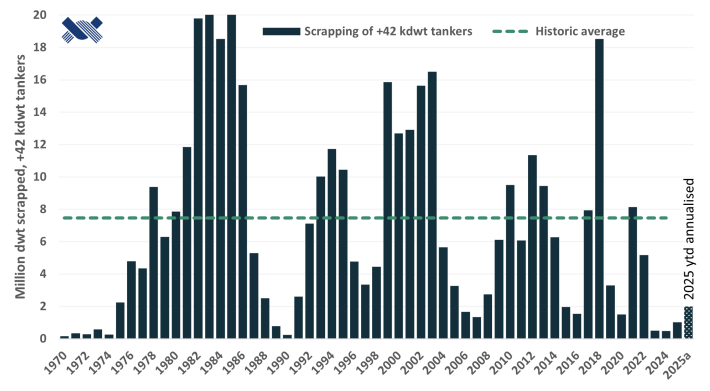
Tanker demolition has also picked up to double that of the last two years. However, that remains miniscule, with the run-rate pointing to 0.3% phase-out. There are also a few vessels which have been converted etc. so that total phase-out run-rate may end up at around 1%. Some more vessels have also left the compliant fleet, to offset most of this year's fleet growth.

Tanker ordering, +42k dwt



Source: Fearnleys

Tanker demolition, +42k dwt



Tanker values at risk

Given a potentially softer outlook, TC rates which have softened since hitting a peak early in the year and unsupportive FFAs, there could be some (more) risk to the downside for asset values going forward.

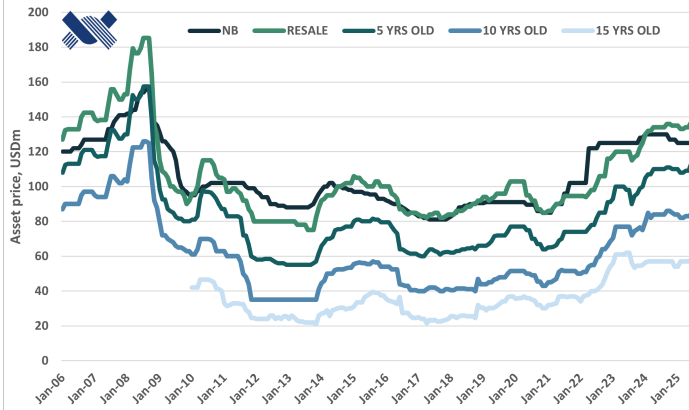
Secondhand values (for modern vessels) have weakened 5-10% on average YTD, other than for VLCCs where there have been few good sales candidates vs. a few keen buyers. For the smaller segments the end of the extraordinary earnings and returns on offer the past couple of years inevitably led to some selling pressure - and there appears to be more sales candidates around. Newbuild prices, meanwhile, have held relatively steady.

The latter may be the next shoe to drop - as order intake at yards has dropped YTD, and prospective buyers appear to be in no rush - for most shipping segments. So, despite healthy backlogs, yards may need to drop prices going forward,

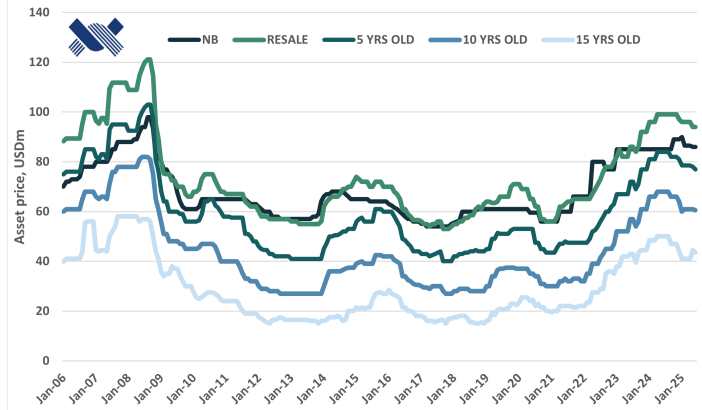
for which there should be some room as some costs have eased and there appears to be decent profitability at current pricing.

At our rate forecasts for next year, there is in theory 15-20% downside risk for modern asset values implied from the historical correlation between asset values and rates. Given many cash rich owners sitting on the sidelines waiting for an opportunity to pounce on lower asset values, however, we doubt values will decline that much - a bit like for dry bulk over the past two years.

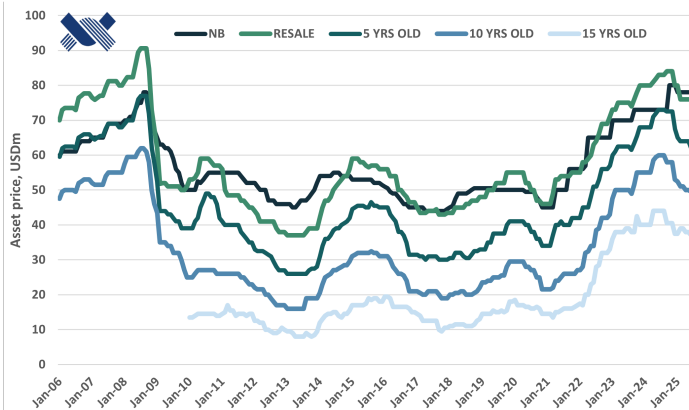
VLCC values



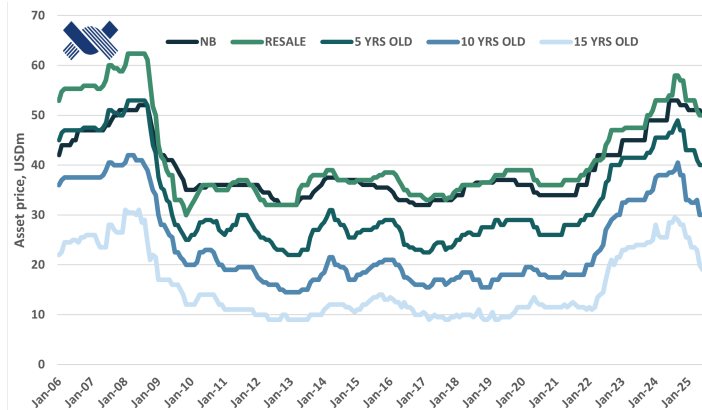
Suezmax values



Aframax values



MR values



Source: Fearnleys



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